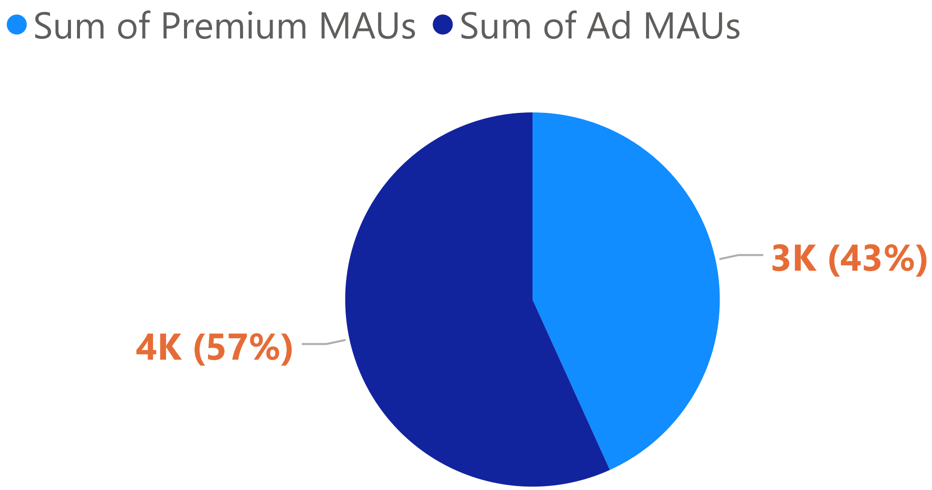
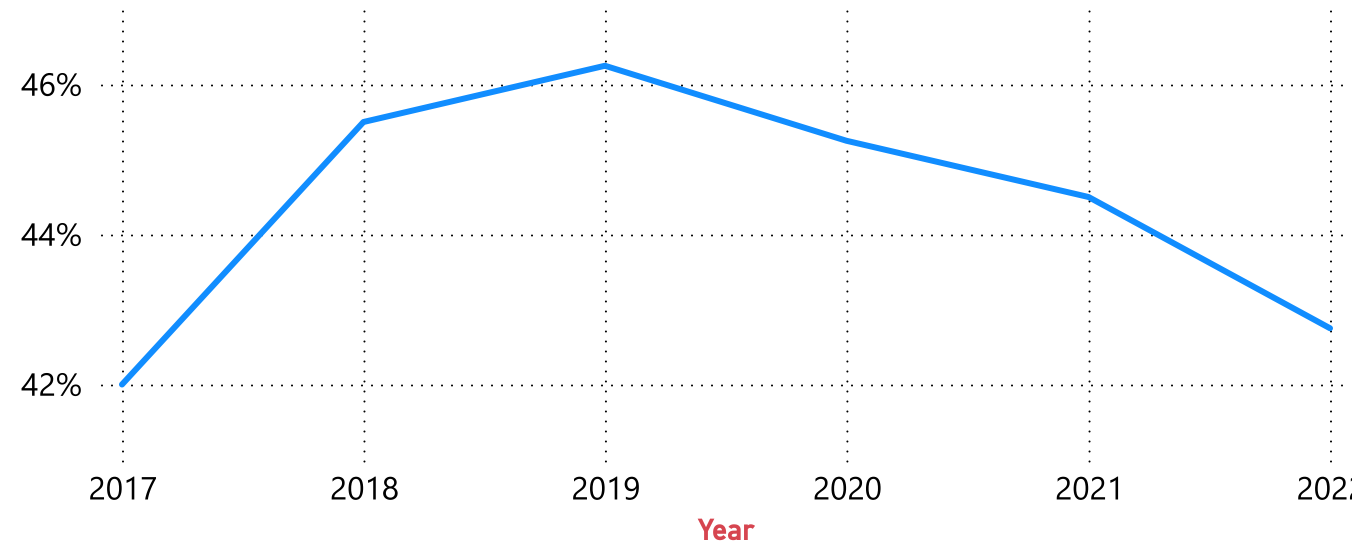
Premium MAUs VS Ad MAUs Totals



PremiumRatio MAU



in 2017, Premium MAU stood at 42%,
the lowest value its ever been, the following two years the ratio gradually increased peaking at 46% in 2019 and stabilizing at around 45% until 2021

in 2021 we observed a sharp decline of 3% in less than a year , which was an abnormal shift from the trend of more or less steady growth from the years prior
(2017-2021)

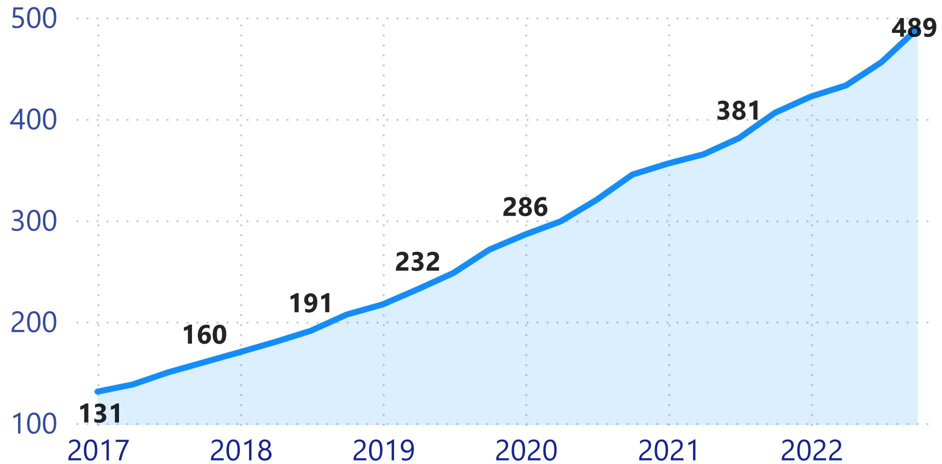
to address the issue we consider :

-reassessing **pricing packages**
to slow churn and ensure customer satisfaction

-increasing **marketing and advertising**
to gain new demographics

-improve **product quality**
to better long term value perception

MAUs by Year and Quarter



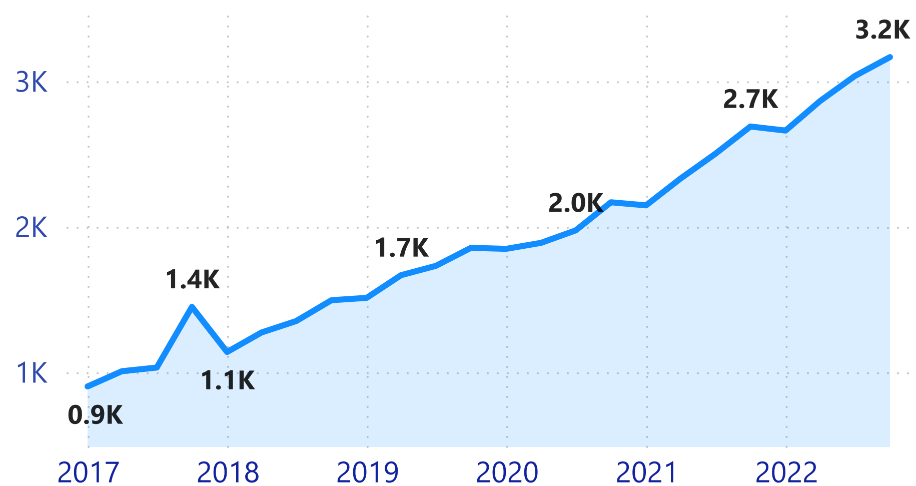
MAU analysis

(2018-2020):Strong and noticeable, growth was found all round in all quarters averaging at around 30%. Spotify was still at a hypergrowth phase, supported by massive marketing, efforts to acquire new users which explains the massive growth quarter by quarter

(2021-2022): a sharp and significant drop off in the growth ratio, where it dropped from being at

Year	Quarter	quarterly MAU growth
2018	Qtr 1	30%
2018	Qtr 2	30%
2018	Qtr 3	27%
2018	Qtr 4	29%
2019	Qtr 1	28%
2019	Qtr 2	29%
2019	Qtr 3	30%
2019	Qtr 4	31%

Revenue by Year and Quarter



REVENUE analysis

(2018-2019): Revenue grew by an average of around 28% for the whole 2 years with the exception of 4th quarter of 2018 which saw only a 3% increase in revenue

2020: we saw a slower increase in the revenue where only the first quarter had an increase of 22%. while the rest were all under 20% , averaging at about 15% for the year

Year	Quarter	quarterly REV growth
2018	Qtr 1	26%
2018	Qtr 2	26%
2018	Qtr 3	31%
2018	Qtr 4	3%
2019	Qtr 1	33%
2019	Qtr 2	31%
2019	Qtr 3	28%
2019	Qtr 4	24%
2020	Qtr 1	22%

We noticed that from 2020 and beyond we saw that MAU started growing much slower then the years prior, the theory here is that a decision was made to take a more profit oriented approach which is a shift from the hyper growth phase it was in, we can after looking at the growth of revenue after the year 2020 see that seems to map on to the reality of the matter, having a strong rebound in the years 2021-2022 in contrast to 2020

In efforts to balance both the profit, focused plan, while also not fully abandoning MAU growth we can do some of the following:

1-Upsell current users

-Push student plans and bundle deals more aggressively.

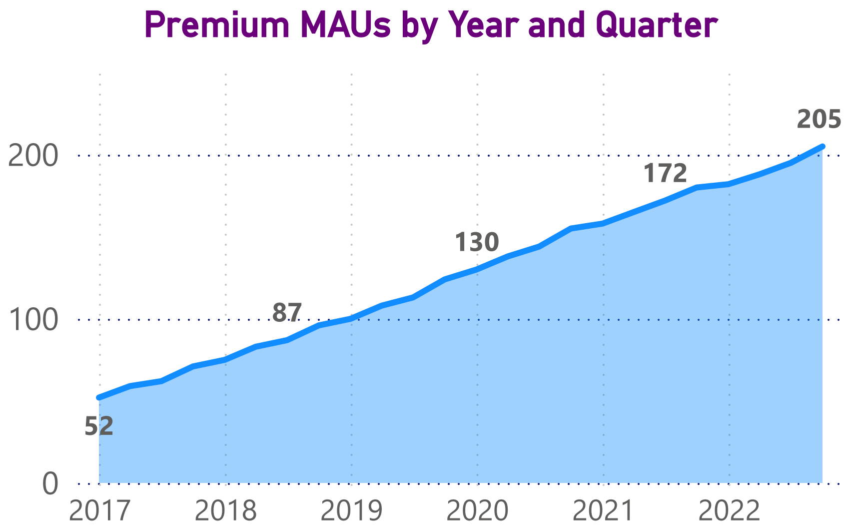
-increase luxury features on premium

2-targeted growth initiatives

-expand into new markets, and/or exclusive partnerships
-experiment with free trials with the free users to hope to upsell them later on

3-Segmented pricing strategy

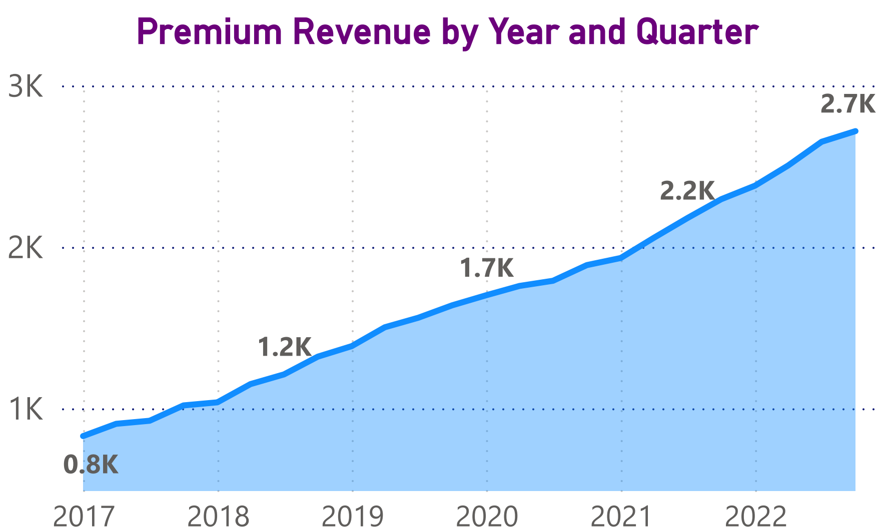
Maintain the premium packages' attractiveness by adding new features



Premium MAU analysis

A continuous trend of regression in quarterly growth year by year, where each quarter is significantly lower than the year prior. or remains stagnant in the best case scenario. Further, we even see a clear trend of regression in each year, where each quarter is lower than the one before it, with the exception of 2019 where it stayed more or less the same all year round

Year	Quarter	quarterly PremMAU growth
2018	Qtr 1	44%
2018	Qtr 2	41%
2018	Qtr 3	40%
2018	Qtr 4	35%
2019	Qtr 1	33%
2019	Qtr 2	30%
2019	Qtr 3	30%
2019	Qtr 4	29%
2020	Qtr 1	30%
2020	Qtr 2	28%



Premium REVENUE analysis

Here we see a massive swing in revenue growth in the middle years of the data we have (2019-2021), and then a more balanced and stable growth in 2018 and in 2022

We also see somewhat of a trend of differences in the growth rates in the sense of how much they are prone to swings in the first half of the year vs the second half.

Year	Quarter	quarterly PremREV growth
2018	Qtr 1	25%
2018	Qtr 2	27%
2018	Qtr 3	31%
2018	Qtr 4	30%
2019	Qtr 1	34%
2019	Qtr 2	31%
2019	Qtr 3	29%
2019	Qtr 4	24%
2020	Qtr 1	23%
2020	Qtr 2	17%
2020	Qtr 3	15%

We can observe the same trend in the premium MAU/REVENUE relationship here as we did in the total MAU/REVENUE relationship where it appears that a decision was made at around the 2020 timeframe to shift the goals of the company from
"grow the base" to "monetize the base" , taking a more profit oriented approach evidenced by that although MAUs growth ratio kept decreasing year by year post 2020 , the Revenues growth ratio in the same time saw a strong increase starting from Q2 of 2021

In efforts to balance both the profit, focused plan, while also not fully abandoning MAU growth, we can do some of the following:

1-incorporate artist-driven, giveaways

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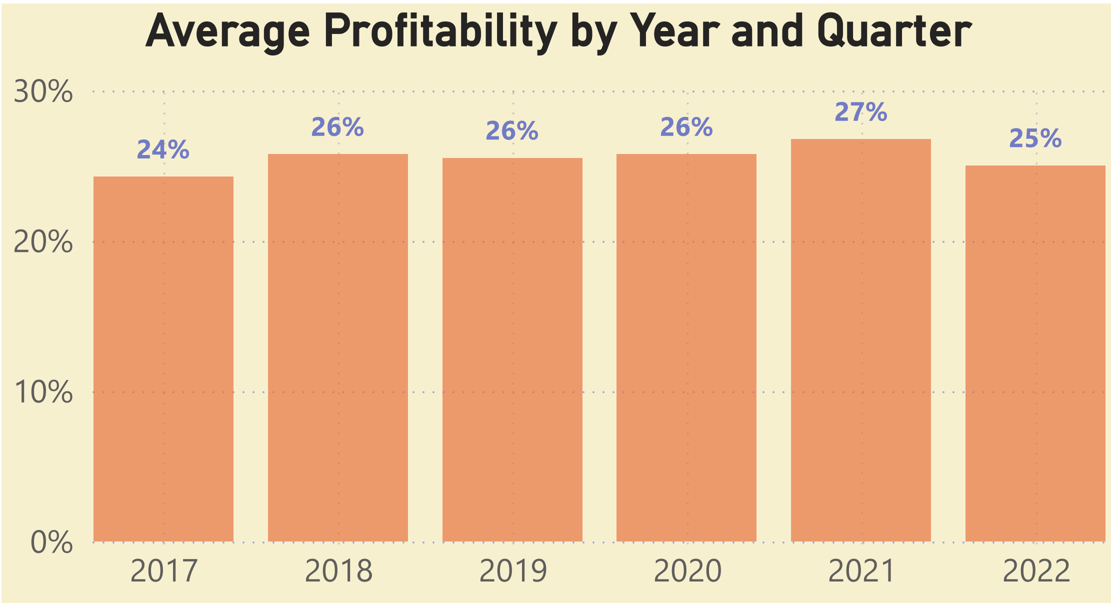
-incorporate concert tickets, backstage passes, and merch drops as premium sub incentives

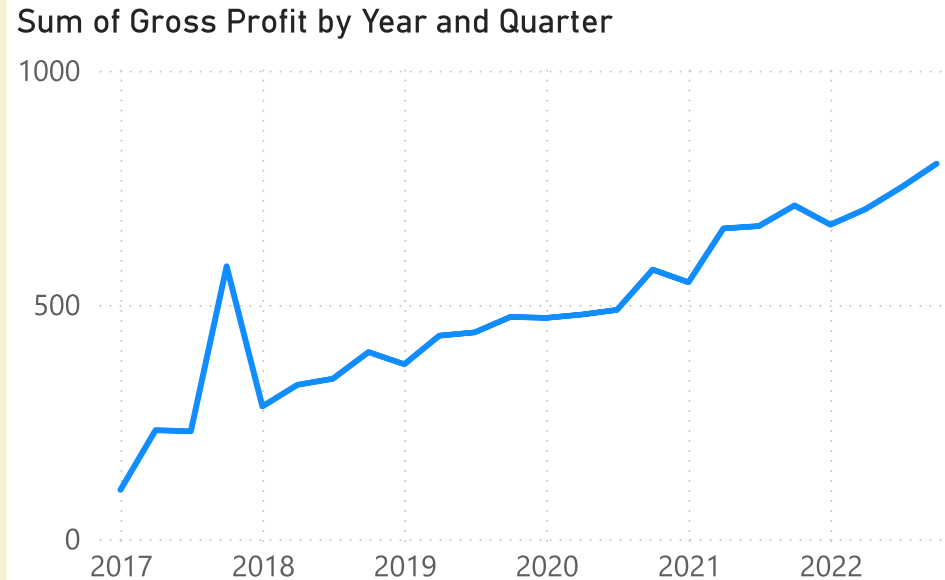
2-exclusive podcast deals

-increase efforts to sign podcasts to exclusive deals so that its fanbase has to crossover to Spotify, increasing revenue

3- mutual value exchange with artists

-Incentivize artists to promote Spotify via ads or other means in return for algorithm pushes and adding their art to playlists, leading to

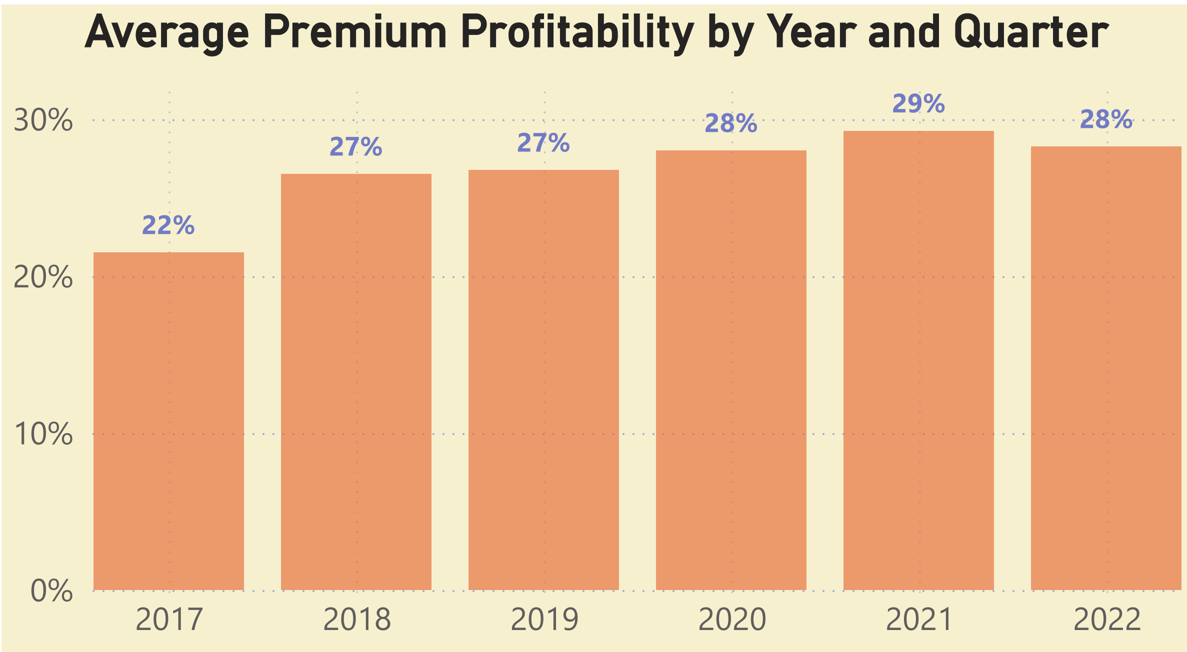


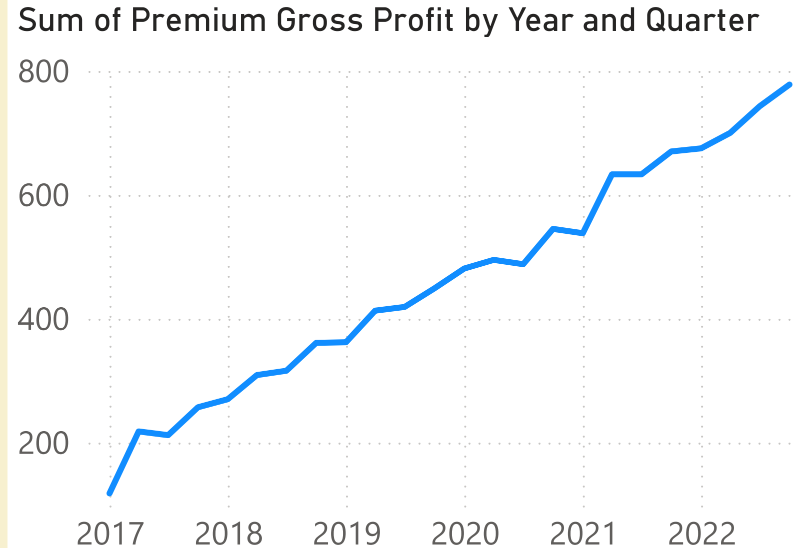


Year	Quarter	Profitability
2017	Qtr 1	12%
2017	Qtr 2	23%
2017	Qtr 3	22%
2017	Qtr 4	40%
2018	Qtr 1	25%
2018	Qtr 2	26%
2018	Qtr 3	25%
2018	Qtr 4	27%
2019	Qtr 1	25%
2019	Qtr 2	26%

The profitability of the company stayed stable and consistently at around 25% for almost every quarter of each year starting from 2018 and beyond

In 2017, the only anomaly year, we saw a big drop in the usual trend of 25% in the first quarter where the profitability came in at 12% only.,
We also saw it make that loss back in the fourth quarter of the year where it went well above the expected 25% mark hitting 40% profitability in Q4.





Year	Quarter	Prem Profitability
2017	Qtr 1	14%
2017	Qtr 2	24%
2017	Qtr 3	23%
2017	Qtr 4	25%
2018	Qtr 1	26%
2018	Qtr 2	27%
2018	Qtr 3	26%
2018	Qtr 4	27%
2019	Qtr 1	26%
2019	Qtr 2	27%
2019	Qtr 3	27%

Similarly to the profitability table, the premium profitability stayed stable and consistently at around 27% for almost every quarter of each year except Q1 of 2017, in which we underperformed in reaching the average mark of 27%, only reaching 14% percent which is a similar result to Q1 of 2017 in the total profitability.
Unlike total profitability, however, here we saw that the fourth quarter of premium profitability did not outperform our expectations as it did in total profitability, coming in at 25%, which is average by our standards.